

traditional bank. Nonetheless, Alex Mashinsky, the founder of Celsius, maintained that his firm offered a better deal for the customer. “For 700 years of banking,” he said, “there was never an option.” After those 700 years, the crypto market crashed, and investors withdrew funds en masse. Voyager and Celsius suspended withdrawals. Each filed for bankruptcy.

Crypto checked off almost every Graham test for speculation: utter reliance on the market trend, no discernible intrinsic value, high leverage. As in the 1920s, salesmen did not even discuss the issue of valuation. Rather, they touted crypto as the hallmark of a “New Era.” Companies in the business of promoting and trading crypto proved adept at recruiting celebrity endorsers, such as NFL quarterback Tom Brady and comedian Larry David. Numerous retired government regulators joined the boards of crypto firms, giving the industry a patina of institutional stability. Coinbase, the largest U.S.-based crypto exchange, recruited to its board Kathryn Haun, formerly assistant U.S. attorney and digital currency coordinator at the U.S. Department of Justice. Coinbase went public in 2021 at a stratospheric price of 381, or \$86 billion. After the IPO, four company insiders sold \$1.2 billion of stock at prices ranging from 189 to 422. In 2022, the company’s revenue plunged and the stock crashed to under 100.³⁹

With a measure of Graham-like detachment, we can see that the crypto bubble is an offshoot of the rise of a technological elite. The impact of technology has been so profound that its experts have come to be regarded as modern priests, akin to the soothsayers of old, and its companies judged on a different standard—as if immune to the age-old test of price and value. The complexity of software, its opaqueness to the nonexpert, affords them an immunity to traditional measures of value, for who can appraise what they cannot

³⁹ Corrie Driebusch and Tom McGinty, “Coinbase Leaders Net \$1.2 Billion in Share Sales,” *Wall Street Journal*, May 27, 2022.